



ADAM SMITH 1930–

Adam Smith, or George J. W. Goodman as his mother called him, made a huge impression on Wall Street with his 1968 best-seller, *The Money Game*, which takes a hard but funny look at the emotional investor and the irrational crowd. One thing he learned: "Even people on Wall Street are playing a game; they're concerned about what they make, what the other guy makes, but the money as money doesn't mean anything." Thus, *The Money Game*. The pseudonym was the result of his own game. For an article on securities analysts, he signed his name *Procrustes*. An anonymous editor changed it to *Adam Smith*, and an icon was reborn. For two years his true identity remained hidden, and then a fellow reporter let the cat out of the bag. Regardless, Goodman was still using the name 20 years later as host of public television's *Adam Smith's Money World*.

After graduating from Harvard University in 1952 and spending several years at Oxford University as a Rhodes scholar, Goodman embarked on his writing career in 1956 as a reporter for *Collier's*. The next year was spent at *Barron's*, and then on to *Time* and *Fortune*. During those early years he wrote three novels satirizing the upper class, all of which were well received. In 1960, he shifted his focus and became a portfolio manager for the Lincoln Fund. "I think," he said, "I'm a person who likes to learn things. . . . The only reason I know anything about Wall Street is that I was curious to know why some people make money and others don't." Over the years, Goodman has discovered that of all the people who want to make money on Wall Street, few want to put in the effort. But for those who do, he thinks the rewards are more than just money. "It is daily theatre," he says, "and it's a way of looking at the world and following the world."

As for what makes a great investor, he actually believes that those with an athletic background excell, because sports has made them more competitive. Knowing economics, business cycles, and security analysis does not guarantee success, Goodman says, because there is this troubling factor known as mass psychology. In *Can Ink Blots Tell You . . .*, he provides a humorous, yet insightful, psychological test for would-be investors.